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UNIVERSITY OF CAMBRIDGE INTERNATIONAL EXAMINATIONS
General Certificate of Education
Advanced Level

ECONOMICS

Paper 3 Multiple Choice (Supplement)

9708/32

May/June 2012

1 hour

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, highlighters, glue or correction fluid.

Write your name, Centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Zarqak Mushtaq

Solved with reasons!

[Handwritten signature]

This document consists of **12** printed pages.



⇒ Productive and allocative

2

⇒ operating at PPC

1 When is economic efficiency achieved in an economy?

- ☒ A when nobody can become better off without somebody else becoming worse off
- B when the economy is operating at its natural rate of unemployment (macro)
- C when the level of social costs is minimised $SC = PC + EC$
- D when the rate of economic growth is maximised (macro)

2 The table shows the total utility that an individual obtains from consuming different quantities of a good.

quantity of good (units)	total utility (units)	MU
1	20	20
2	36	16
3	50	14
* 4	62	12
5	72	10
6	80	8

The individual's marginal utility of money is \$1 = 3 units of utility.

What is the maximum quantity of the good that the individual will buy when its price is \$4?

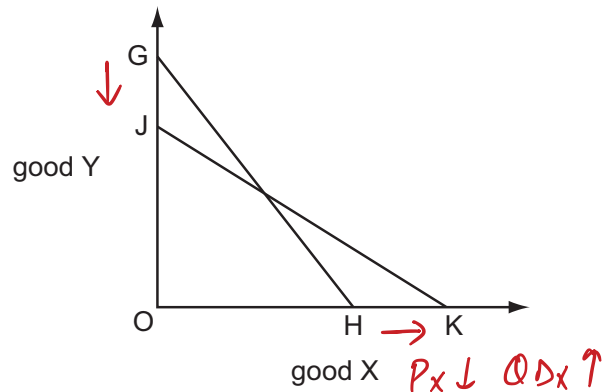
- A 2 units B 3 units ☒ C 4 units D 5 units

$$\text{\$1} = 3 \text{ units}$$

$$\text{\$4} = x$$

$$x = 12 \text{ units}$$

- 3 The curve GH in the diagram is a consumer's initial budget line.



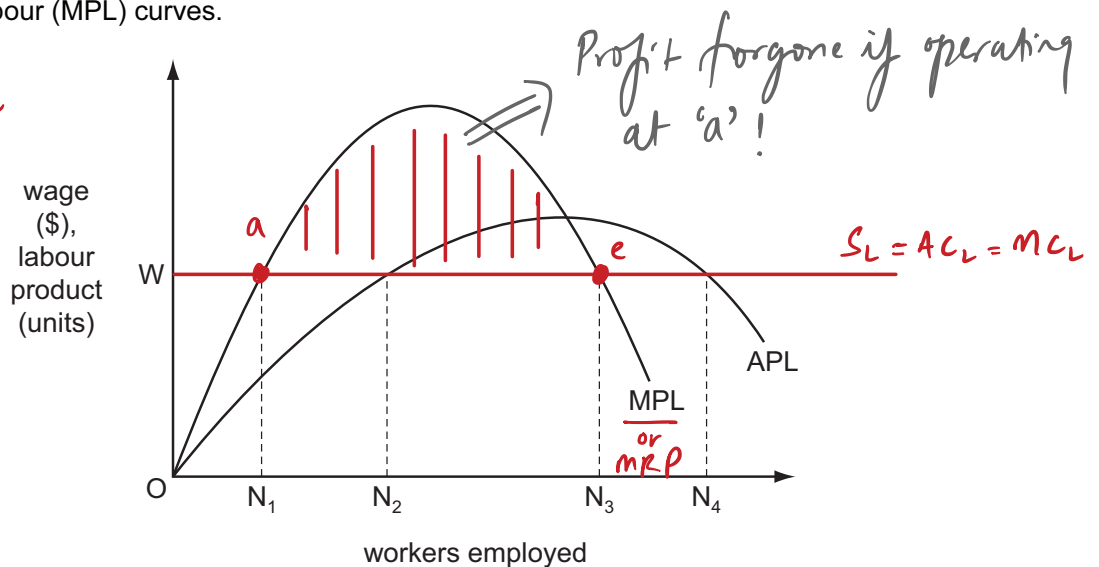
Which combination could cause the budget line to shift to JK?

	price of good X	consumers' money income
A	decrease ✓	decrease ✓
B	decrease ✓	increase
C	increase	decrease ✓
D	increase	increase

⇒ that's why qty of good Y ↓

- 4 The diagram shows a perfectly competitive firm's average product of labour (APL) and marginal product of labour (MPL) curves.

$MRP = MP_L \times MR$
 $* MR = \text{price}$
 $\$1$
 $MRP = MP_L$



The market price of the firm's product is \$1.

How many workers will the firm employ at a wage of OW?

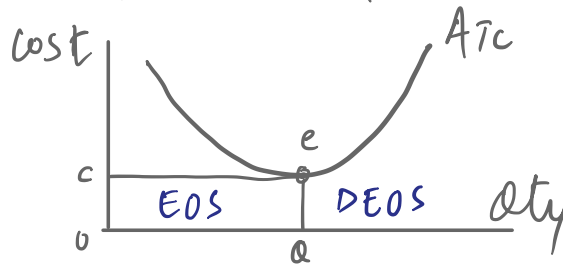
- A ON_1 B ON_2 ~~C~~ ON_3 D ON_4

$MRP = MC_L$
 $* MC_L = \text{wage}$

- 5 A firm experiences diseconomies of scale over its entire range of output.

What is the shape of its long-run average cost curve? *Downward*

- A It is horizontal.
 B It is 'U' shaped.
 C It slopes downwards.
☒ D It slopes upwards.



- 6 Which is a financial economy of scale?

- ☒ A lower costs in raising capital *(Lower interest rate)*
 B lower costs of marketing
 C lower risk due to diversification *Risk bearing*
 D lower variable costs of production

- 7 The table shows a firm's total costs of production.

<i>VC</i>	production (tonnes)	total cost (\$)
	0	40
20	1	60 - 40
30	2	70 - 40
40	3	80 - 40
50	4	90 - 40
60	5	100 - 40

→ Fixed cost = 40

What is the average variable cost of producing 5 tonnes of output?

- A \$8.00 ☒ B \$10.00 ☒ C \$12.00 D \$20.00

$$AVC = \frac{TVC}{Q} = \frac{60}{5} = \underline{\underline{\$12.00}}$$

considers opportunity cost



5

- 8 An economist calculates that a firm has incurred the following costs over the course of a year.

	\$(000)
wages and salaries	150
<u>opportunity cost of owner's time</u>	<u>35</u>
materials	80
rent	30
marketing fees	20
interest on bank loans	25
<u>interest forgone on finance provided by owner</u>	<u>10</u>

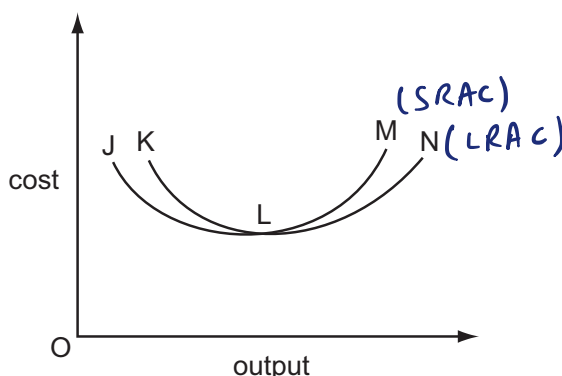
$$35 + 10$$

\$45000!

By how much does total cost as defined by an economist exceed the total cost as defined by an accountant?

- A \$75 000 ☒ B \$45 000 C \$35 000 D \$10 000

- 9 The diagram shows a firm's short-run and long-run average cost curves.



Which curve is the firm's long-run average cost curve?

- ☒ A JLN B JLM ☒ C KLM (SRAC) D KLN

market share

- 10 The five firm concentration ratio for an industry changes from 50 % to 60 %.

Which statement about the industry is correct?

- A Each firm has become more efficient.
☒ B The industry has become more oligopolistic.
 C The industry has benefited from external economies of scale.
 D The industry now has fewer barriers to entry.

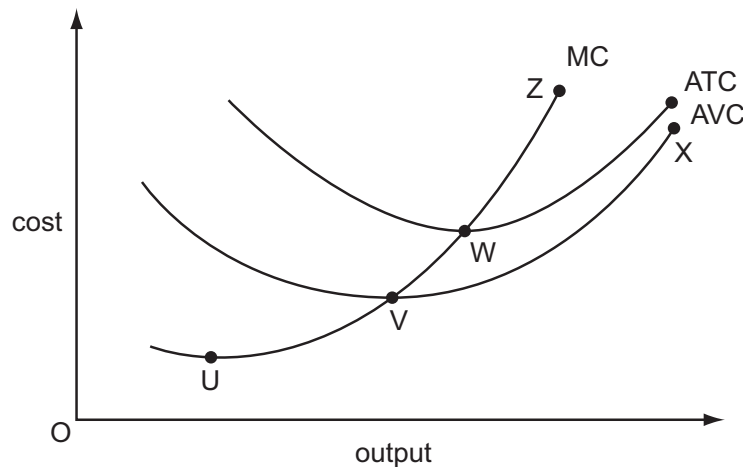
A rule of thumb is that an oligopoly exists when the top five firms in the market account for more than 60% of total market sales. If the concentration ratio of one company is equal to 100%, this indicates that the industry is a monopoly

A concentration ratio is the ratio of the combined market shares of a given number of firms to the whole market size. It is commonest to consider the 3-firm, 4-firm or 5-firm concentration ratio. Concentration ratios are used to assess the extent to which a given market is oligopolistic.

Last operating point, when marginal cost intersect the minimum of average variable⁶ cost

11 The diagram shows the cost curves of a firm in a perfectly competitive market.

* Remember 3 connected diagram



Which segment of a curve shows the quantity that the firm would be willing to supply to the market in the short-run? [Covers AVC]

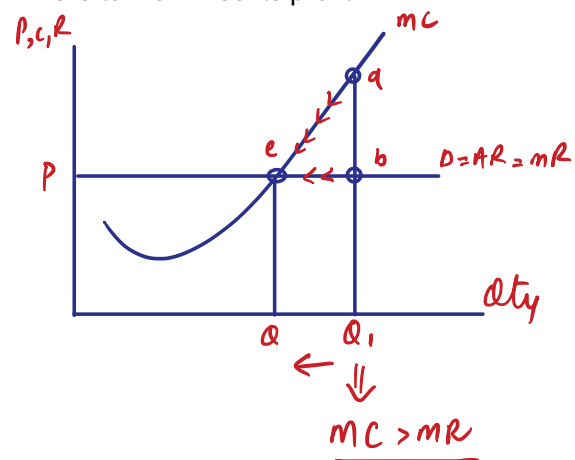
- A VX B UZ ~~C VZ~~ D WZ

MR. DARP

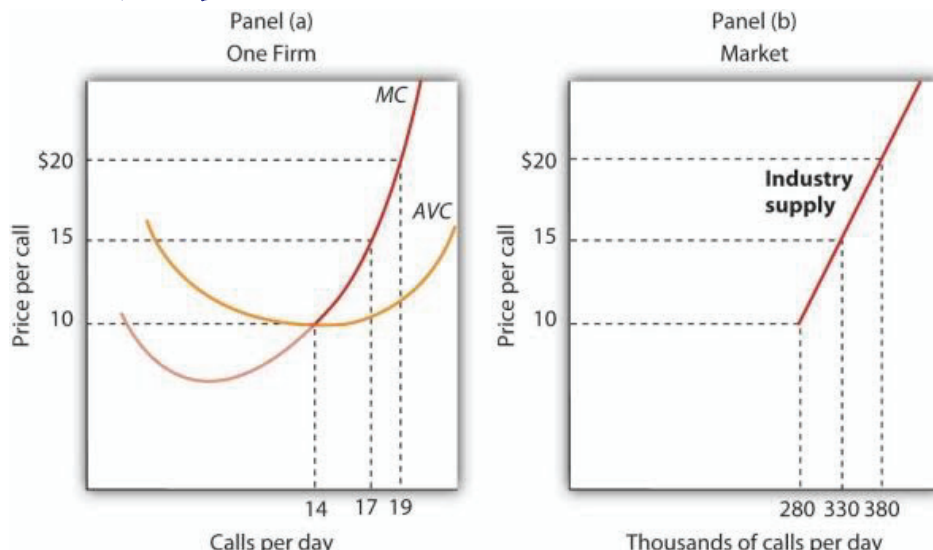
12 A perfectly competitive firm is currently producing at a level of output where its marginal cost is above both its average total cost and the market price. $MC > MR$

What will be the effect on price and output if the firm were to maximise its profit?

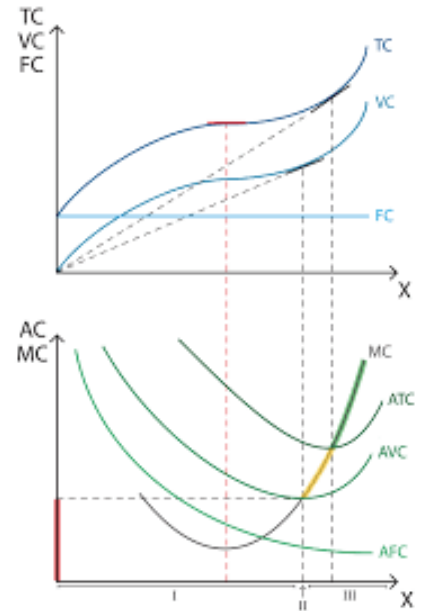
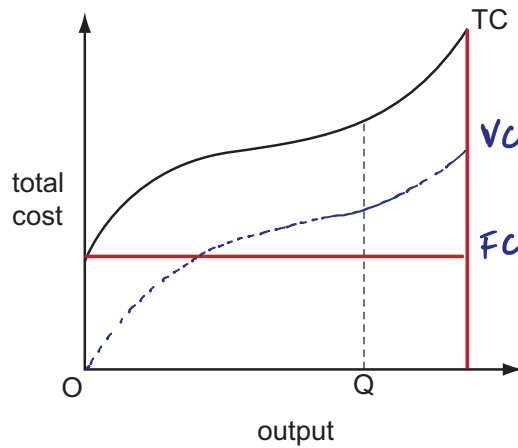
	effect on output	effect on price
A	decrease ✓	increase
B	decrease ✓	unchanged ✓
C	increase	decrease
D	increase	unchanged ✓



MCQ :- 11

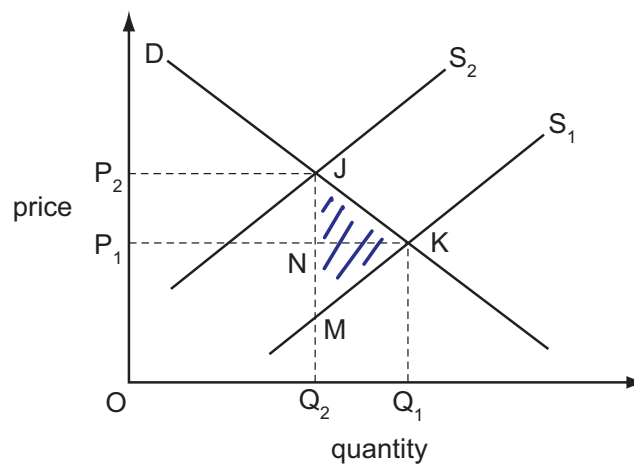


- 13 The diagram shows a firm's short-run total cost curve (TC).



What is minimised at output OQ?

- A average fixed cost
 - B average total cost
 - ☒ C average variable cost
 - D marginal cost
- 14 In the diagram the imposition of a tax on a commodity causes its supply curve to shift from S_1 to S_2 .



Which area measures the resulting deadweight loss?

- A P_1P_2JK
- B JKQ_1Q_2
- ☒ C JKM
- D JKN

↓
welfare loss /
social welfare loss

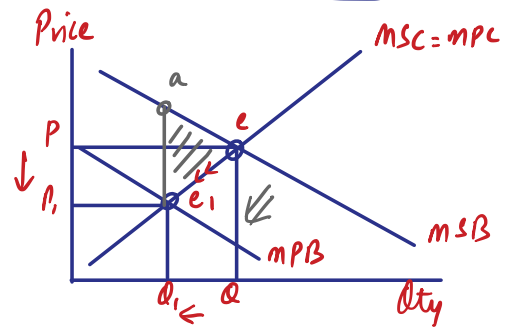
Merit good

under consumed, under produced,
under allocation, market failure

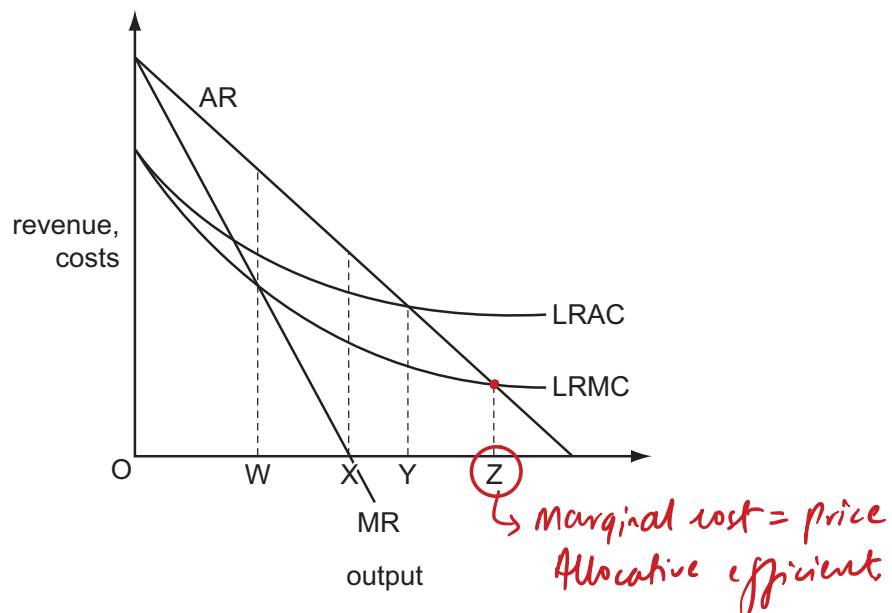
- 15 A good gives rise to external benefits and is produced under conditions of imperfect competition.

Which statement must be true?

- A Benefits to consumers exceed the benefits to society.
B Firms producing the good will make a loss.
☒ C Output of the good is below the socially optimum level.
D Social costs of production exceed private costs.



- 16 The diagram shows the long-run cost and revenue curves of a monopolist.



Which level of output satisfies the condition for an efficient allocation of resources?

- A OW B OX C OY ☒ D OZ

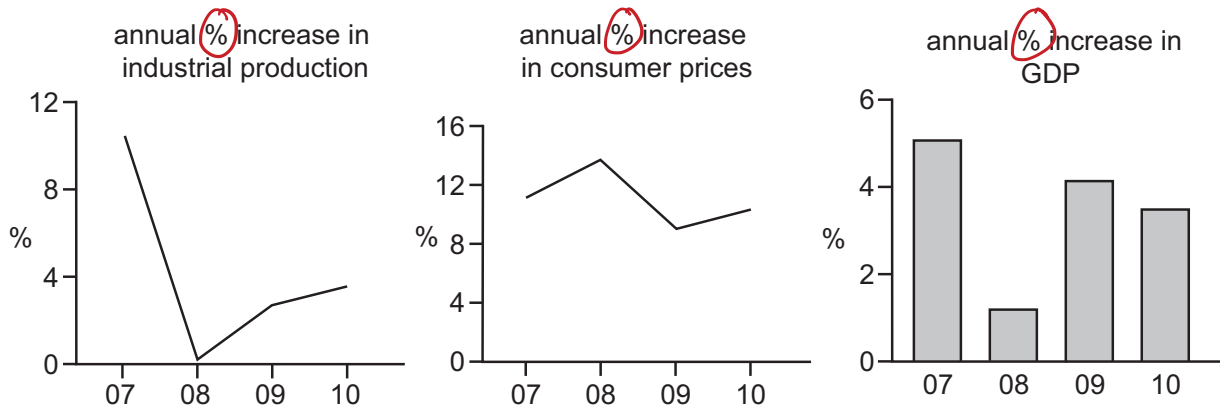
- 17 A government uses real personal disposable income per head as a measure of the standard of living.

What does this measure not take into account?

- ☒ A the distribution of income
B the level of national income
C the size of the population
D the average price level (Adjusted with inflation)

(Data in %)

18 The graphs indicate economic performance in a country between 2007 and 2010.



Which conclusion may be drawn from the graphs?

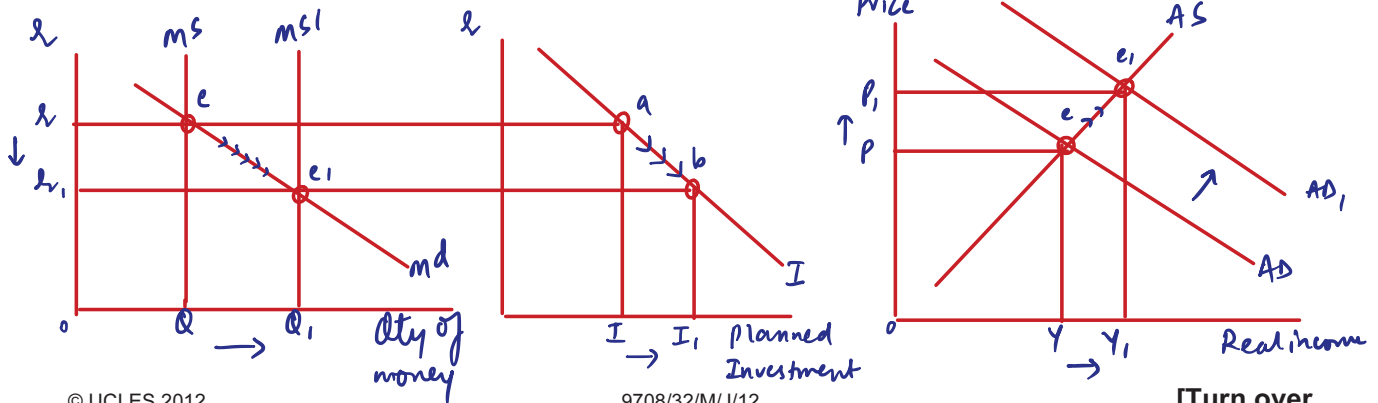
- ☒ A Between 2007 and 2008 industrial production and GDP fell but prices rose. *Data in %.*
- ☒ B Between 2008 and 2009 the rates of growth of industrial production, GDP and prices all increased. *Rate ↓*
- ☒ C GDP and industrial production were at their lowest in 2008. *Data in %.*
- ☒ D At no time did industrial production, GDP or prices fall. *(Prices are increasing at a decreasing rate)*

19 Which represents an injection into an economy's circular flow of income?

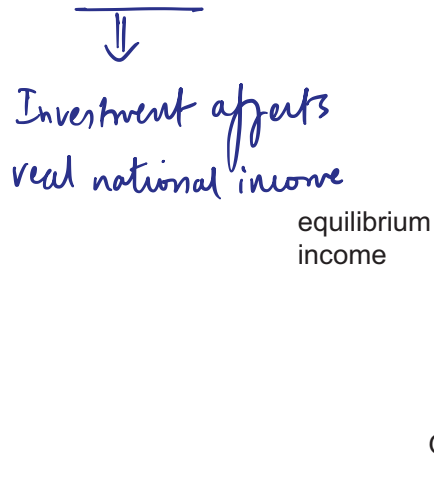
- ☒ A a balance of trade surplus $[X(Tr) > M(TE)]$ *I + G + X*
- ☐ B a government budget surplus *Tax revenue > G*
- ☐ C the retained profits of private companies *Owner's saving*
- ☐ D household saving *S' → leakage*

20 According to monetarist theory, what will be the short-run effect of an unexpected increase in the money supply? *Resources available*

- ☐ A an appreciation of the foreign exchange rate
- ☒ B an increase in output *$M^s \uparrow, R \downarrow, C \uparrow, I \uparrow, AD \uparrow, Real\ income \uparrow$*
- ☐ C an increase in real wages
- ☐ D an increase in the rate of interest



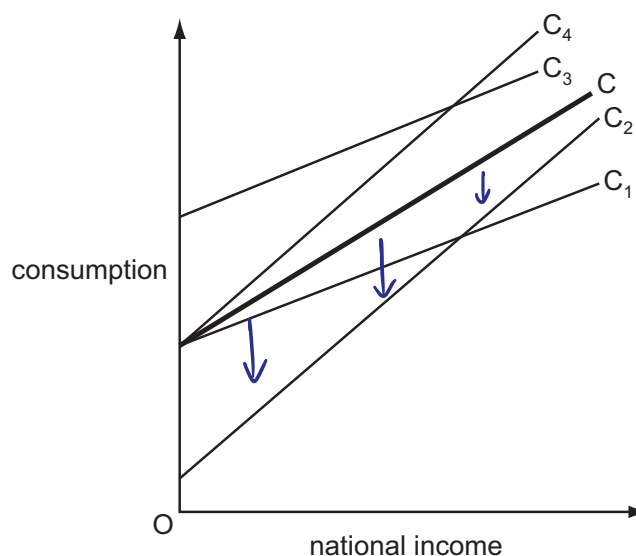
- 21 In the diagram, Y_E indicates the equilibrium level of income corresponding to different levels of investment.



What does the slope of the line Y_E measure?

- ☒ A the investment multiplier
- ☐ B the marginal propensity to save *MPS (Additional income that goes into saving)*
- ☐ C the rate of growth of investment
- ☐ D the rate of growth of national income

- 22 In the diagram, C is an economy's initial relationship between consumption and national income.



Which curve could show the economy's new consumption function following a reduction in the rate of unemployment benefits?

- A C_1 ☐ B C_2 ☒ C C_3 ☐ D C_4 ☐

(Shift $\downarrow$) Autonomous *Transferearnings*

23 What would result in an increase in the volume of bank deposits? (Money supply ↑)

- A an increase in the public's desire to hold cash *less cash in bank*
- ☒ B an increase in government expenditure financed by borrowing from the central bank *⇒ Purchase of Bonds ↓ MS ↑*
- C an increase in the proportion of their deposits that banks hold in cash *MS ↓*
- D an open market sale of securities by the central bank *MS ↓*

24 In a banking system all banks maintain 10% of deposits as cash. $18000 \times \frac{1}{10\%} \Rightarrow 180000$

Customers withdraw \$20 000 in cash. $\times 10\% \Rightarrow 2000$ (Apply the concept of multiplier)

Assuming no subsequent net change in notes and coins in circulation, by how much will the banks have to reduce their net loans?

- A \$2000 B \$18 000 ☒ C \$180 000 D \$220 000

25 Which change is most likely to increase both economic growth and economic development in the long-run?

- A a decrease in the savings ratio *C ↑ output ↑*
- ☒ B an increase in investment in human capital *training output ↑*
- C the depletion of non-renewable resources *output ↑*
- D the greater use of compulsory overtime working of labour *output ↑*

* Economic development is the process in which a nation is being improved in the sector of the economic, political, and social well-being of its people. Consequently, as economist Amartya Sen points out, "economic growth is one aspect of the process of economic development".

26 What is likely to result from the discovery of oil reserves in a developing economy?

- A a more equal distribution of income and wealth *AS ↑, prices ↓*
- ☒ B an increase in the real exchange rate *X(7R) ↑, D\$ ↑, Appreciate*
- C an increase in the competitiveness of commercial agriculture
- D a reduction in the volume of imports of manufactured goods

27 What will be most likely to decrease a country's national output in the short run but to increase its potential for long-run growth?

- ☒ A a decrease in the level of import tariffs
- B a decrease in the rate of immigration *shortage of workers, cost push inflation*
- C an increase in female participation in the labour force *shortrun growth*
- D an increase in the money supply *(Shortrun growth)*

More imports ⇒ competition ↑
less domestic goods ⇒ efficiency ↑
C ↓
AD ↓
output ↓
Specialization ↑
Long term growth

(Shortrun)

Moving towards education
↑

12

Students not part of labour
↑ force!

28 The number of people employed in a country and the level of unemployment both decrease.

What could explain this?

A net inward immigration, Both ↑

B an increase in the level of unemployment benefits Unemployed ↑

C an increase in the age at which state pensions are payable Not part of labour force

☒ D an increase in the number of students

29 What would be an appropriate government action to reduce both a balance of payments current account surplus and the rate of inflation?

A increase the money supply Creates inflation

B increase direct taxes controls inflation but creates surplus in current account

☒ C remove tariffs on imports $M(TE) \uparrow$, current account surplus ↓

D devalue the currency

causes inflation

↓
AD ↓ (rate of inflation ↓)

30 The government of Lesotho introduces a programme to promote exports and to encourage firms to grow by subsidising local entrepreneurs.

What effect is this likely to have on incomes, the balance of payments current account deficit and government expenditure in Lesotho?

Subsidy ↑
↓ G ↑
Private ↓
C ↑
X(TE) ↑
AD ↑
multiplier
incomes ↑

	incomes	balance of payments current account deficit	government expenditure
A	fall	uncertain ✓	rise ✓
B	rise ✓	reduce	no change
C	fall	reduce	rise ✓
☒ D	rise ✓	uncertain ✓	rise ✓

↓
It comprises of 4 components, only data of export given, therefore uncertain

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